

EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

HOLD

Composite · Valuation: UNDERWEIGHT
Blended Target: \$261.88
Implied upside: -7.7%

Technology · Consumer Electronics
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-28

Price (Jun): \$283.78

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$261.88 (-7.7% vs \$283.78); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: HOLD (score -0.05, confluence 50%) · TA: BULLISH · Quant: POSITIVE · FSA: Weak. Valuation rich but trend improving — wait for confirmation.

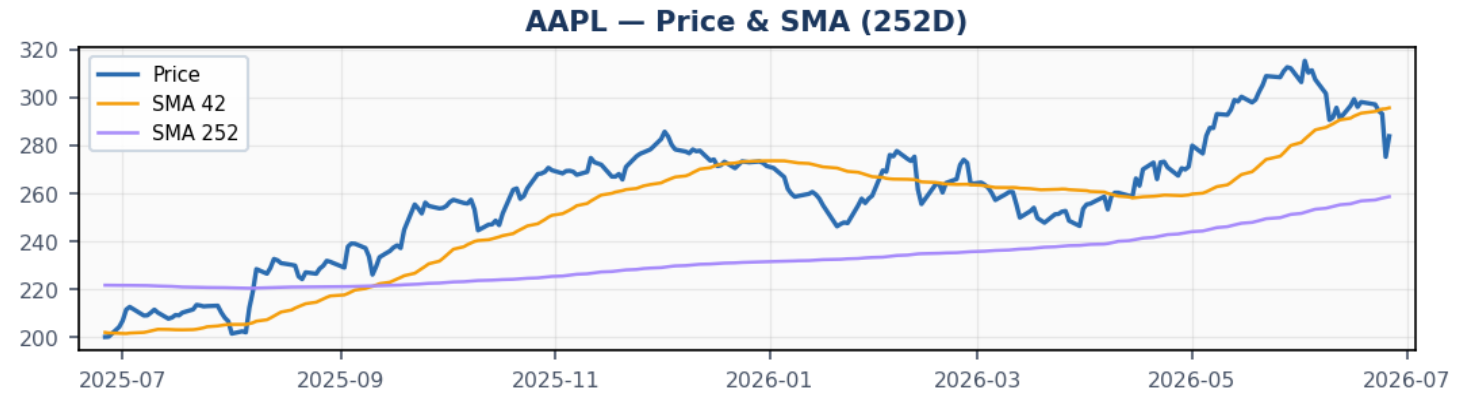
INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target \$261.88. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.17T	Shares Out.	14687.4M
52-Week Range	\$199.26 – \$317.40	P/E (TTM)	34.4x
P/B	39.1x	Beta	1.09
Avg Volume	52.38M	Analyst Rec.	Buy
Revenue (TTM)	\$451.44B	Rev Growth	+16.6%
Op. Margin	32.3%	FCF (TTM)	\$98.77B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	391,035	416,161	485,244	545,268	596,573
Revenue Growth (%)	N/A	6.4%	16.6%	12.4%	9.4%
Net Income (\$M)	93,736	112,010	130,604	146,759	160,568
Net Income Growth (%)	N/A	19.5%	16.6%	12.4%	9.4%
Gross Margin (%)	46.2%	46.9%	47.9%	47.9%	47.9%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
ROE (%)	164.6%	151.9%	177.1%	180.5%	188.1%
EPS (\$)	6.38	7.63	8.89	9.99	10.93
Book Value / Share (\$)	3.88	5.02	5.02	5.53	5.81
P/E (x)	44.47	37.21	31.91	28.40	25.96
P/B (x)	73.19	56.53	56.53	51.27	48.83
Dividend Yield (%)	38.0%	38.0%	38.0%	38.0%	38.0%

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Weak (score -0.30). Strengths: FCF supports reported earnings. Risks: Operating margin deteriorating; Current ratio 0.89x — liquidity pressure; Weak ROE 1.4%. 3Y projection: −9.2% revenue growth; Y3 revenue \$587.96B.

Metric	Value	Assessment
FSA Health Score	-0.30	Weak
Revenue CAGR (3Y)	1.8%	
Net Income CAGR (3Y)	3.9%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	0.89x	Liquidity
Debt / Equity	80%	Leverage
ROE	1.4%	Profitability
FCF / Net Income	0.88x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$493.00B / \$587.96B	@9.2%
Proj. Net Income (Y1 / Y3)	\$125.70B / \$149.91B	Margin × (1−tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$295.58	Short-term trend
SMA (252d)	\$258.61	Long-term trend
RSI (14d)	33.5	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$295.58, SMA252=\$258.61

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+41.7%	
3m Momentum	+14.2%	
Ann. Volatility	27.7%	
Sharpe Ratio	0.46	Rf=4%
Max Drawdown	-33.4%	
Rel. Strength vs SPY	+33.5%	
Quant Score	+0.55	POSITIVE
SMA Backtest (ann.)	2.2%	B&H; 19.7%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$111.93	-60.6%	0% (excluded)	Diverges below other methods (40% of median)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$198.00	-30.2%	—	Peer median P/E 24.0x
Comps — P/E (peer median, forward EPS)	\$230.34	-18.8%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$266.81	-6.0%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$168.84	-40.5%	—	Peer median 17.6x
Comps — P/S (peer median)	\$163.39	-42.4%	—	Peer median P/S 5.3x
Comps — Blended (median of multiples + uplift anchors)	\$248.58	-12.4%	80%	Included in blend
Analyst consensus (Yahoo Finance)	\$315.09	+11.0%	20%	Included in blend
Blended target (weighted)	\$261.88	-7.7%	100%	Comps 80% + Analyst 20%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.97%
Terminal g	1.50%
FCFE growth	8.30%
Base FCFE	\$98.77B
PV explicit (5Y)	\$494.71B
PV terminal	\$1.15T
Equity value (adj.)	\$1.64T
Implied price	\$111.93
vs. current	-60.6%

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Strong top-line growth (16.6% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.77T	22.2x	15.3x	39.3%	+18.3%
GOOGL	Alphabet Inc.	\$4.12T	25.7x	25.1x	37.9%	+21.8%
HPQ	HP Inc.	\$20.92B	8.5x	6.0x	4.4%	+9.0%
DELL	Dell Technologies Inc.	\$258.13B	31.9x	19.9x	6.3%	+87.5%
AAPL*	Apple Inc.	\$4.17T	34.4x	26.2x	27.2%	+16.6%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.